est vogue for convertible issues, between 1926 and 1929.[4] During these years it was broadly true that the strongly entrenched industrial enterprises raised money through sales of common stock, whereas the weaker—or weakly capitalized—undertakings resorted to privileged senior securities.

The second reason is related to the conditions under which profit may accrue from the conversion privilege. Although there is indeed no upper limit to the price that a convertible bond may reach, there is a very real limitation on the amount of profit that the holder may realize while still maintaining an *investment position*. After a privileged issue has advanced with the common stock, its price soon becomes dependent *in both directions* upon changes in the stock quotation, and to that extent the continued holding of the senior issue becomes a *speculative* operation. An example will make this clear:

Let us assume the purchase of a high-grade 3½% bond at par, convertible into two shares of common for each $100 bond (*i.e.*, convertible into common stock at 50). The common stock is selling at 45 when the bond is bought.

First Stage: (1) If the stock declines to 35, the bond may remain close to par. This illustrates the pronounced technical advantage of a convertible issue over the common stock. (2) If the stock advances to 55, the price of the bond will probably rise to 115 or more. (Its "immediate conversion value" would be 110, but a premium would be justified because of its advantage over the stock.) This illustrates the undoubted speculative possibilities of such a convertible issue.

Second Stage: The stock advances further to 65. The conversion value of the bond is now 130, and it will sell at that figure, or slightly higher. At this point the original purchaser is faced with a problem. Within wide limits, the future price of his bond depends entirely upon the course of the common stock. In order to seek a larger profit he must risk the loss of the profit in hand, which in fact constitutes a substantial part of the

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[4] Prior to the appearance on Feb. 16, 1939, of *Release No.* 208 (*Statistical Series*) of the S.E.C., no comprehensive compilation of the dollar volume of privileged issues has been made and regularly maintained. That release gave data on a quarterly basis for the period from Apr. 1, 1937, through Dec. 31, 1938, and additional data have since been published quarterly by the S.E.C. Further evidence of the volume of this type of financing over a much longer period is presented in Appendix Note 35.